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EDUCATION EXAMINATION

(Mock Test 44)

Suggested Solution

Paper 1

1. D	11. B	21. C	31. A	41. D
2. A	12. A	22. B	32. A	42. B
3. B	13. B	23. B	33. A	43. D
4. C	14. C	24. B	34. C	44. A
5. A	15. C	25. C	35. D	45. D
6. C	16. B	26. D	36. B	
7. B	17. B	27. C	37. A	
8. A	18. D	28. A	38. D	
9. C	19. C	29. D	39. D	
10. A	20. D	30. C	40. D	

Explanation

1. Answer: D

(1) is correct. When people need to make choices among options, it means that the quantity of resources is insufficient to satisfy all human wants and scarcity exists.

(2) is correct. When people are still unable to obtain the goods or services they want even if they are willing to pay the price, it means a shortage exists. When a shortage exists, scarcity must also exist.

(3) is correct. The fact that people have to pay a cost to obtain certain goods or services means they are economic goods. The quantity of these goods or services is insufficient to satisfy all human wants.

2. Answer: A

Mr. Lam will choose the first option as the benefit of choosing the first option (the value of the first option) is greater than the cost (the value of the second option).

Option A is correct. This would reduce the value of the third option without affecting Mr. Lam's cost or benefit of choosing the first option.

Option B is incorrect. This would reduce the value of the first option, thus decreasing Mr. Lam's benefit of choosing the first option.

Option C is incorrect. This would increase the value of the first option, thus increasing Mr. Lam's benefit of choosing the first option.

Option D is incorrect. This may decrease the value of the second option to a level lower than that of the third option, so the cost of choosing the first option may change from the value of the second option to that of the third option.

3. Answer: B

(2) is a normative statement because whether waiving examination fees is fair or not involves a value judgement, and it is not refutable by facts.

(1) and (3) are positive statements. They describe what is, with no value judgement. They are refutable by facts.

4. Answer: C

When a customer consumes one of the drinks, the quantity of drinks available for others to consume decreases, reflecting that the drinks are rival in consumption.

Option A is incorrect. Some people prefer more free drinks. They are economic goods rather than free goods.

Option B is incorrect. These free drinks are economic goods, but the explanation in the option does not align with the definition of economic goods.

Option D is incorrect. These free drinks are producer goods, but the explanation in the option does not align with the definition of producer goods.

5. Answer: A

(3) is incorrect. Lowering the selling price is related to the 'for whom to produce' question, because the price of fitness equipment directly affects who the fitness equipment (output) will be sold (allocated) to, rather than the distribution of inputs.

6. Answer: C

The firm is a private limited company.

(1) is correct. Since a limited company is an independent legal entity, the shareholders do not need to bear the legal responsibilities of the firm.

(2) is correct. Shareholders of a limited company enjoy limited liability. Shareholders are not responsible for the company's debts.

(3) is incorrect. When a limited company winds up, bondholders claim repayment of their investment in the firm prior to shareholders.

7. Answer: B

(3) is incorrect. Inflation is a persistent increase in the general price level.

In a barter economy, there is no generally acceptable medium of exchange, so money does not exist. The price of one good is expressed in terms of another good (relative price), rather than a monetary price. A rise in the relative price of one good means a fall in the relative price of another good. Therefore, inflation does not exist in a barter economy.

8. Answer: A

When the government increases the quota of the foreign talent admission scheme, more foreign talent will enter Country A's labour market. The labour supply will increase. These workers possess good education and experience, so Country A's average labour productivity will increase.

The scheme has no significant effect on the ability or willingness of Country A's labour to change from one occupation to another. Thus it has no effect on the occupational mobility of labour.

The scheme will increase the geographical mobility of overseas talents, but it has no significant effect on the ability and willingness of Country A's workers to move from one place to another, so it has no effect on the geographical mobility of Country A's labour.

9. Answer: C

Labour (units)	Machinery (units)	Average product (units)	Total product (units)	Marginal product (units)
5	2	9	18	-
5	3	10	30	12
5	4	12	48	18
5	5	13	65	17
5	6	X must be smaller than 13.67 (= 82 / 6)	6X must be smaller than 82 (= 65 + 17)	must be smaller than 17

As the marginal product of machinery starts to decline when the 5th unit of machinery is put to work, the marginal product of the 6th unit of machinery must be smaller than 17 units. Therefore, the total product must be smaller than 82 units and the average product (X) must be smaller than 13.67 units.

10. Answer: A

The restaurant's decision to acquire a food importer is a form of vertical backward integration, which can ensure a reliable supply of inputs.

(1) is incorrect. The restaurant's acquisition of a food importer cannot reduce the number of competitors in the market.

(3) is incorrect. Whether acquiring a food importer or opening a new branch, the restaurant can enjoy economies of scale by expanding its scale of production.

11. Answer: B

The firm's total cost schedule and marginal cost schedule are as follows:

Output (units)	2	3	4	5	6
Average cost (\$)	4	5	6	7	8
Total cost (\$)	8	15	24	35	48
Marginal cost (\$)	-	7	9	11	13

Option B is correct. When the market price is \$9, profit = $\$9 \times 4 - \$24 = \$12$. When the market price is \$11, profit = $\$11 \times 5 - \$35 = \$20$. Profit will increase by \$8.

Option A is incorrect. According to the general condition for profit maximisation, when the market price rises from \$9 to \$11, the profit-maximising output will increase from 4 units to 5 units.

Option C is incorrect. Total cost will increase from \$24 to \$35, an increase of \$11.

Option D is incorrect. The concept of diseconomies of scale only applies in the long run. The firm has a fixed cost, which indicates that it has fixed factors of production and is therefore operating in the short run.

12. Answer: A

There is excess demand for the limited-edition watches (quantity demanded exceeds quantity supplied). Therefore, the quantity transacted will equal the quantity supplied and will be smaller than the quantity demanded.

13. Answer: B

The monetary price of high-quality fruit is generally higher than that of ordinary fruit. When the packaging cost per box of fruit increases, the relative price of high-quality fruit (in terms of ordinary fruit) will decrease. According to the law of demand, people will purchase more high-quality fruit relative to ordinary fruit, and the proportion of high-quality fruit sold in Country A will increase.

Option A is incorrect. When the packaging cost per box of fruit increases, the supply of fruit will decrease. The price of fruit will increase and the quantity demanded will decrease. This is not a change in demand.

Option C is incorrect. When the price of fruit increases, the quantity demanded will decrease. The change in total expenditure is uncertain, depending on the price elasticity of demand.

Option D is incorrect. When the packaging cost per box of fruit increases, the supply of fruit will decrease. The quantity demanded will decrease and the import volume of fruit will decrease.

14. Answer: C

It is given that the supply curve of good X is upward sloping, while its demand curve is vertical. When the supply of good X increases, the equilibrium price will decrease, but the equilibrium quantity will remain unchanged. When the demand for good X decreases, both the equilibrium price and equilibrium quantity will decrease. Thus, both the equilibrium price and equilibrium quantity of good X will decrease.

15. Answer: C

When the salaries of bus drivers generally fall, the cost of providing bus services will fall. The supply of bus services will increase and the supply curve will shift rightwards from S_0 to S_1 .

The opening of a new railway branch line will cause a decrease in demand for bus services, and the demand curve will shift leftwards from D_0 to D_2 .

Therefore, the new equilibrium point will be E_3 .

16. Answer: B

(1) is correct. When the price of raw materials for producing good Y increases, the supply of good Y will decrease and its price will increase. When good X and good Y are in joint demand, an increase in the price of good Y will lead to a decrease in the demand for good X. As a result, both the price and quantity transacted of good X will decrease, and total expenditure will decrease.

(3) is correct. When the government increases the effective quota set on good X, the supply of good X will increase. The price will decrease and the quantity transacted will increase. If the demand for good X is inelastic, the percentage decrease in price will be greater than the percentage increase in quantity demanded, and total expenditure will decrease.

(2) is incorrect. When the government imposes a per-unit tax on good Y, the supply of good Y will decrease and its price will increase. When good X and good Y are substitutes, an increase in the price of good Y will lead to an increase in the demand for good X. As a result, both the price and quantity transacted of good X will increase, and total expenditure will increase.

17. Answer: B

As technology companies need more electricity to operate their data centres, the demand for electricity increases, causing both its price and quantity transacted to increase. Since the percentage change in quantity transacted (20%) is greater than the percentage change in price (10%), the supply of electricity is elastic.

If the electricity companies have spare production capacity, the supply of electricity tends to be elastic.

Option A is incorrect. This is a factor affecting the price elasticity of demand for electricity and cannot explain the above change.

Option C is incorrect. If the equipment required to produce electricity is not easy to install, the supply of electricity tends to be inelastic.

Option D is incorrect. This is a factor affecting the price elasticity of demand for electricity and cannot explain the above change.

18. Answer: D

The original equilibrium price is \$14 and the quantity transacted is 26 units.

When the government sets a price ceiling of \$12 on good X, the price becomes \$12 and the quantity transacted is 24 units.

Option D is correct. If the government replaces the price ceiling with a per-unit tax of \$4, the supply and demand schedules after tax are as follows:

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)	Quantity supplied after tax (units)
10	30	22	-
12	28	24	-
14	26	26	22
16	24	28	24
18	22	30	26
20	20	32	28

The new equilibrium price is \$16 and the quantity transacted is 24 units. Therefore, the imposition of a per-unit tax of \$4 has the same effect on the quantity transacted as the price ceiling.

Option A is incorrect. Under the price ceiling of \$12, total revenue is \$288 ($= \$12 \times 24$). If the government removes the price ceiling, the market will return to the equilibrium, where the price will be \$14 and the quantity transacted will be 26 units. Total revenue will be \$364 ($= \14×26). Therefore, removing the price ceiling will cause the total revenue to increase.

Option B is incorrect. If the government lowers the price ceiling, the difference between marginal benefit and marginal cost will widen, and the deadweight loss will increase.

Option C is incorrect. If the government replaces the price ceiling with a quota of 24 units, the price will be \$16, which is different from the price under the price ceiling.

19. Answer: C

(1) is correct. In a perfectly competitive market, price-taking is the result of keen price competition. Any seller who sets a price higher than others will lose all customers. Therefore, price competition exists. On the other hand, since all sellers sell homogeneous products at the prevailing market price and all buyers and sellers have perfect information, there is no need for sellers to engage in non-price competition.

(2) is correct. In a perfectly competitive market, profit-maximising firms produce at the level where $MR = MC = P$. Therefore, their marginal costs for the last unit are the same.

(3) is incorrect. Firms may have different production costs, so their profits are not necessarily the same.

20. Answer: D

When the government provides a per-unit subsidy for good X, supply will increase, leading to an increase in quantity transacted and a decrease in price. At the same time, a decrease in the price of substitutes for good X will reduce the demand for good X, causing both the quantity transacted and price to decrease. To conclude, the price will decrease, and the marginal benefit of the last unit of good X will decrease.

At the original equilibrium point, total social surplus ($=$ consumer surplus + producer surplus) is maximised. After the per-unit subsidy is provided, the total amount of the subsidy exceeds the increases in consumer surplus and producer surplus. Part of the subsidy is neither gained by consumers nor received by producers and becomes deadweight loss. Meanwhile, when the demand for good X decreases, both producer surplus and consumer surplus will decrease. To conclude, the total social surplus of good X will decrease.

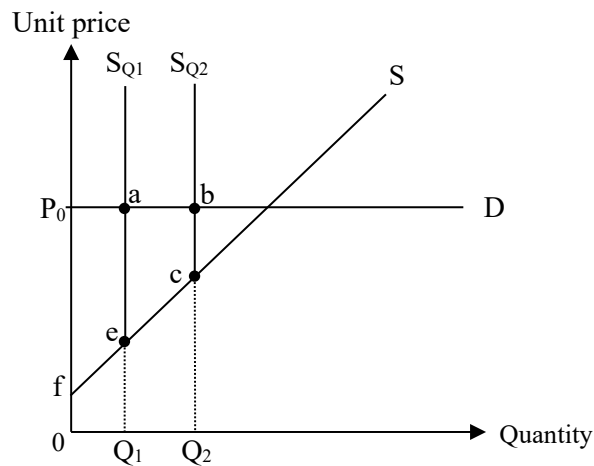
21. Answer: C

When the government adjusts the quota of good X from Q_1 to Q_2 , the quantity transacted increases from Q_1 to Q_2 , while the price remains at P_0 .

(2) is correct. The original total social surplus is the area P_0aef , and the new total social surplus is the area P_0bcf , which is an increase by the area $abce$.

(3) is correct. The original total expenditure is the area P_0aQ_10 , and the new total expenditure is the area P_0bQ_20 , which is an increase by the area abQ_2Q_1 .

(1) is incorrect. Consumer surplus is zero both before and after the quota increase, so consumer surplus has not increased.



22. Answer: B

From 2015 to 2025, the Gini coefficient continuously declined, indicating that income distribution became more equal. When the tax system changes from regressive to progressive, the proportion of income paid as tax by high-income groups will increase, which can lead to a more even income distribution.

Option A is incorrect. If the income of high-income households increases by a greater extent than that of low-income households, income distribution will become more uneven, which is inconsistent with the data in the question.

Option C is incorrect. When the proportion of total income earned by the top 20% of households increases, income distribution will become more uneven, which is inconsistent with the data in the question.

Option D is incorrect. A general sales tax is a regressive tax. Imposing a regressive tax will lead to a more uneven income distribution, which is inconsistent with the data in the question.

23. Answer: B

Income inequality among real estate agents mainly arises from differences in their human capital (such as service quality and sales skills) and the areas they serve. High-income real estate agents may earn higher commissions by working in luxury housing districts and attracting high-end clients, while average-income agents may earn lower commissions because they work in areas with mid-to-low-priced properties. In contrast, the income of restaurant waiters is mainly determined by fixed hourly wages, with smaller differences in human capital, resulting in a smaller income gap.

24. Answer: B

The contribution of the production chain of garments to Country A's GDP at factor cost
 $= \$100 + (\$480 + \$400 - \$100) + (\$900 - \$400 - \$50) - \80
 $= \$1,250$

25. Answer: C

GNI = GDP + Factor income earned by residents outside the economic territory – Factor income earned by non-residents within the economic territory

Option C is correct. It is factor income earned by a non-resident within the economic territory.

Options A and B are incorrect. They are factor income earned by residents outside the economic territory.

Option D is incorrect. Since the Korean has worked in Hong Kong for more than one year, he is regarded as a resident of Hong Kong. His income will be included in both Hong Kong's GDP and GNI.

26. Answer: D

Even if a country's per capita real GDP increases, if income distribution becomes more uneven, it means a small number of rich people may consume more or higher-quality goods, while the majority may consume fewer or lower-quality goods. Therefore, people will generally think that their standard of living has declined.

Option A is incorrect. If there are more unreported economic activities in the market, people's standard of living will increase.

Options B and C are incorrect. Per capita real GDP has already eliminated the effects of changes in the price level and population.

27. Answer: C

When more overseas companies remit money to the economy's banking system, the money supply will increase and the money supply curve will shift to the right. The nominal interest rate will decrease and the quantity of money will increase. When the volatility of the stock market increases, people will hold fewer stocks and hold more money as an asset. Asset demand for money will increase and the money demand curve will shift to the right. The nominal interest rate will increase and the quantity of money will remain unchanged. To conclude, the change in the nominal interest rate will be uncertain, while the quantity of money will increase.

28. Answer: A

A fall in the price level can be caused by a decrease in aggregate demand and/or an increase in short run aggregate supply.

When the price of raw materials decreases, short run aggregate supply will increase. At the same time, when a major trading partner of the economy experiences an economic recession, the economy's net exports will decrease and aggregate demand will decrease. To conclude, the price level will decrease.

Option B is incorrect. When labour productivity increases, short run aggregate supply will increase and the price level will decrease. In addition, when the government carries out an open market purchase of government bonds, the money supply will increase and the interest rate will decrease.

Consumption/investment will increase, aggregate demand will increase and the price level will increase. To conclude, the change in the price level will be uncertain.

Option C is incorrect. When people's desire to save decreases, private consumption expenditure will increase. Aggregate demand will increase and the price level will increase. In addition, when the economy's currency appreciates, net exports will decrease. Aggregate demand will decrease and the price level will decrease. To conclude, the change in the price level will be uncertain.

Option D is incorrect. A reduction in the required reserve ratio will increase the money supply, and the interest rate will decrease. Consumption/investment will increase and aggregate demand will increase. The price level will increase. In addition, a major natural disaster that disrupts production will cause the short run aggregate supply to decrease. The price level will increase. To conclude, the price level will increase.

29. Answer: D

There is an inflationary (output) gap in the economy. There is excess demand in the factor market, resulting in an upward pressure on input prices. The cost of production will increase. Short run aggregate supply will decrease until the output level returns to the full-employment output level Y_f .

Option A is incorrect. The short run aggregate supply curve will shift to the left until it intersects with the LRAS and AD. The price level will be higher than P_0 .

Option B is incorrect. The economy's productive capacity has not changed, so the full-employment output level will remain unchanged.

Option C is incorrect. A reduction in the profits tax rate will increase investment expenditure, causing aggregate demand to increase and the output level to increase further, which will not help restore the output level to the full-employment output level.

30. Answer: C

When the government relaxes the restrictions on importing foreign labour, the labour force will increase. Country A's productive capacity will increase and long run aggregate supply will increase. At the same time, foreign workers and their family members living in Country A will increase private consumption expenditure. Aggregate demand will increase.

31. Answer: A

32. Answer: A

Withdrawing HK\$200,000 cash from a deposit-taking company will cause M1 and M2 to increase by HK\$200,000, while M3 will remain unchanged.

Using HK\$50,000 cash to purchase a negotiable certificate of deposit issued by a licensed bank will cause M1 to decrease by HK\$50,000, while M2 and M3 will remain unchanged.

Remitting the remaining amount (\$150,000) overseas will cause M1, M2 and M3 to decrease by HK\$150,000, as this amount is no longer included in the money supply of Hong Kong.

The overall effects of the above actions on M1, M2 and M3:

M1 will remain unchanged.

M2 will increase by HK\$50,000.

M3 will decrease by HK\$150,000.

33. Answer: A

Required reserve ratio = $[(\$300 - 100) \text{ million} / \$1,000 \text{ million}] \times 100\% = 20\%$

After withdrawing \$50 million from the banking system, reserves will decrease by \$50 million, which will be \$250 million.

Deposits = \$250 million $\times 1/20\% = \$1,250$ million

Loans = $(\$1,250 - \$250) \text{ million} = \$1,000$ million

34. Answer: C

At point A, the growth rate of real GDP is falling, indicating that the economy is in a recession. In this phase, business confidence, investment, consumption, production, and employment will all decline. A rising unemployment rate means household income will decrease, and government salaries tax revenue will also decrease. As consumption and investment expenditure decrease, import volume will decrease and sales of firms will decrease.

35. Answer: D

Unexpected inflation will cause the real value of the fixed fees paid by the consumer to decrease, so he will gain.

Option A is incorrect. Unexpected inflation will cause the real value of the interest received by the businessman to decrease, so the businessman will lose.

Option B is incorrect. When unexpected inflation occurs, the purchasing power of cash will decrease, so the secondary school student will lose.

Option C is incorrect. Unexpected inflation will cause the real value of the fixed rent received by the investor to decrease, so the investor will lose.

36. Answer: B

The cost of holding money equals the nominal interest rate, i.e., 2%.

Actual real rate of return on holding money

= Nominal rate of return on holding money – Actual inflation rate

= 0% – 7% = –7%

37. Answer: A

The diagram shows a regressive tax.

(2) is correct. A regressive tax will make income distribution more uneven because the tax payment accounts for a higher proportion of the income of low-income people than of high-income people.

(1) is incorrect. As income rises, the proportion of income paid as tax decreases. Therefore, this tax system violates the equity principle of taxation put forward by Adam Smith.

(3) is incorrect. The x-axis of the diagram shows taxable income, which is the amount used to calculate tax after deducting allowances and tax deductions. Therefore, we cannot determine whether this tax has an allowance.

38. Answer: D

When the government imposes a tariff on imported goods, imported goods become more expensive. Imports will decrease, which will help reduce the trade deficit. At the same time, tariffs are a form of government revenue and will therefore increase the fiscal surplus.

Option A is incorrect. The imposition of a general sales tax can increase government revenue and thus increase its fiscal surplus. However, the prices of goods will rise and exports may decrease, which may worsen the trade deficit.

Option B is incorrect. When the government increases the quota for importing foreign labour, the increase in the employed population will lead to higher salaries tax revenue for the government, which can increase its fiscal surplus. However, when short run aggregate supply increases, output will increase and the total import value will increase, worsening the trade deficit.

Option C is incorrect. When households' desire to save increases, they will reduce consumption and total import value will decrease, helping to reduce the trade deficit. However, when private consumption expenditure decreases, aggregate demand will decrease. The output level will decrease and government tax revenue will decrease. The fiscal surplus will not increase.

39. Answer: D

When the central bank carries out an open market sale of government bonds, it will reduce the money supply. This is a contractionary monetary policy.

Option A is incorrect. Reducing the basic allowance for the salaries tax will cause people's disposable income to fall. Private consumption expenditure will decrease and aggregate demand will decrease. This is a contractionary fiscal policy.

Option B is incorrect. Although commercial banks raising the loan interest rate will cause consumption and investment to decrease, this is not a policy adopted by the central bank and therefore does not constitute monetary policy.

Option C is incorrect. Lowering the discount rate will increase the money supply. This is an expansionary monetary policy.

40. Answer: D

A lower required reserve ratio will cause the money supply to increase. The interest rate will decrease and consumption/investment will increase. Aggregate demand will increase and the price level will increase.

Tightening the criteria for receiving unemployment benefits will reduce people's disposable income, causing private consumption expenditure and aggregate demand to decrease. The price level will decrease.

Option A is incorrect. Lowering the standard tax rate of the salaries tax will increase people's disposable income, causing private consumption expenditure and aggregate demand to increase. The price level will increase.

Option B is incorrect. Lowering the profits tax rate will stimulate investment, increase aggregate demand and cause the price level to increase.

Option C is incorrect. Removing the tariff exemptions on imported goods will cause the price of imported goods to increase. Import volume will decrease. Net exports and aggregate demand will increase and the price level will increase.

41. Answer: D

When the risk of holding bonds increases, asset demand for money will increase. The nominal interest rate will increase, and consumption and investment will decrease. Aggregate demand will decrease and the output level will decrease.

Option D is correct. When citizens use electronic payment methods more, transaction demand for money will decrease. The nominal interest rate will decrease. Consumption and investment will increase. Aggregate demand will increase and the output level will increase.

Option A is incorrect. When the government increases the allowance for the salaries tax, people's disposable income will increase. Private consumption expenditure will increase and aggregate demand will increase. The output level will increase. However, when the output level increases, transaction demand for money will increase and the nominal interest rate will increase further.

Option B is incorrect. Raising the required reserve ratio will cause the money supply to decrease. The nominal interest rate will increase further. Consumption and investment will decrease. Aggregate demand will decrease and the output level will decrease further.

Option C is incorrect. When more enterprises extend the income payment interval, transaction demand for money will increase and the nominal interest rate will increase further. Consumption and investment will decrease. Aggregate demand will decrease and the output level will decrease further.

42. Answer: B

(2) is correct.

Country A's opportunity cost of producing 1 unit of rice = 1.5 (= 3/2) units of pears

Country B's opportunity cost of producing 1 unit of rice = 3 (= 1.5/0.5) units of pears

Country A's opportunity cost of producing 1 unit of rice is lower than that of Country B, so Country A has a comparative advantage in producing rice.

(1) is incorrect. Since Country A requires more resources (labour) to produce 1 unit of pears than Country B, Country A does not have an absolute advantage in producing pears.

(3) is incorrect. The range of terms of trade over which exchange between the two countries is mutually beneficial should be:

1.5 units of pears < 1 unit of rice < 3 units of pears, i.e., 0.33 units of rice < 1 unit of pears < 0.67 units of rice.

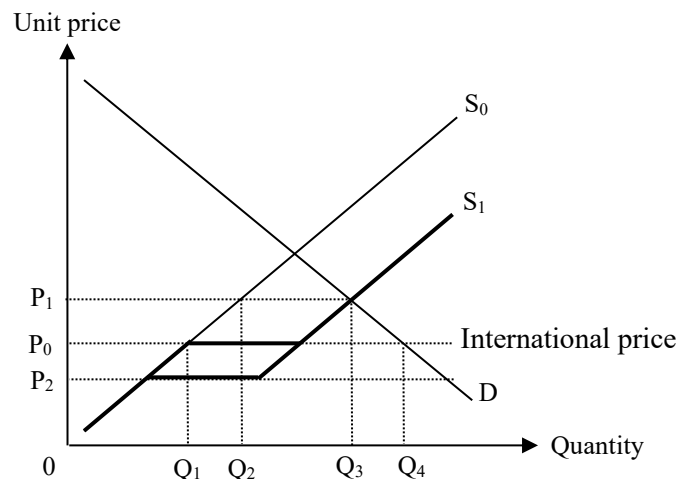
43. Answer: D

After the international price decreases (e.g., to P_2), the domestic price will remain at P_1 and the quantity transacted will be Q_3 , which is the same as before the international price decreases. Consumers' total expenditure on good X will remain unchanged.

Option A is incorrect. The domestic price will remain at P_1 .

Option B is incorrect. The quota has not changed, so the import volume remains at $(Q_3 - Q_2)$.

Option C is incorrect. The domestic production of good X will not change (i.e., will remain at Q_2).



44. Answer: A

Balance of invisible trade = Value of exports of services – Value of imports of services

Between 2018 and 2019, the value of exports of services was greater than the value of imports of services, and the gap between them (i.e., balance of invisible trade) widened.

45. Answer: D

When the US dollar depreciates against the renminbi, the Hong Kong dollar also depreciates against the renminbi. Goods imported from the Mainland will become more expensive (in terms of Hong Kong dollars), putting upward pressure on the general price level. When the general price level continues to rise, it will result in inflation.

Option A is incorrect. The market exchange rate of the Hong Kong dollar against other currencies is determined by the supply and demand in the foreign exchange market.

Option B is incorrect. Only Hong Kong's monetary base (i.e. cash in public circulation + bank reserves) is fully backed by the US dollar.

Option C is incorrect. Only the note-issuing banks can exchange Hong Kong dollars for US dollars with the Hong Kong Monetary Authority at the linked exchange rate.

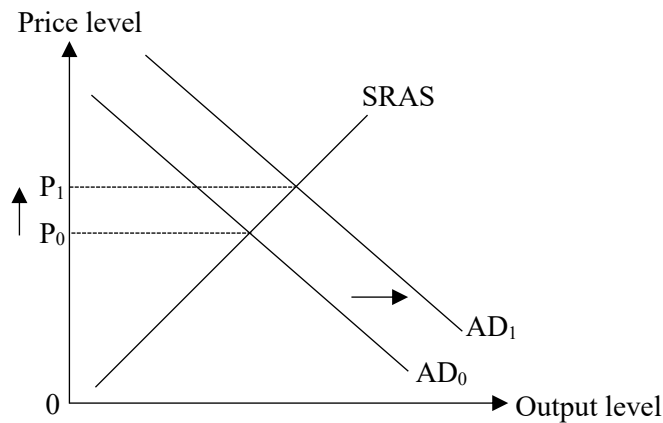
Paper 2

Section A (44 marks)

1. (a) The private property rights of HOS flats are weakened because the owners' right to transfer the property is restricted. (2 marks)
- (b) Originally, the opportunity cost of holding the flats includes monetary expenditures such as management fees and rates (monetary cost). When the government removes the alienation restriction period, owners can sell their HOS flats immediately. The returns from selling the flats will be included in the opportunity cost of holding the flats (non-monetary cost). Therefore, the opportunity cost of holding the flats will increase. (2 marks)
2. (a) Reasons:
- The cash coupons are not generally accepted as a medium of exchange because they can only be used at that ice cream shop and cannot be used in other shops.
 - The cash coupons are not a good store of value because if the ice cream shop winds up, the value of the coupons will drop to zero.
 - The cash coupons may have an expiry date, so the durability is not as good as cash.
 - The cash coupons are not legal tender; others may refuse to accept them as a means of payment.
- Any reasonable answers
(Mark the **FIRST TWO** points only)
- (b) For Yanny, the cup of chocolate ice cream is the price/cost she pays for obtaining the \$200 earlier. (2 marks)
3. (a) Percentage change in nominal GDP
$$= [\$ (3,186,841 - 2,981,210) \text{ million} / \$ 2,981,210 \text{ million}] \times 100\% = 6.90\%$$
 (1 mark)
$$\text{Real GDP} = (\text{Nominal GDP} / \text{Price level}) \times 100$$

Since the growth rate of nominal GDP (6.90%) is higher than the growth rate of the price level (4.2%), real GDP has increased. (2 marks)
- (b) Verbal elaboration:
Increasing the cash subsidy provided to the unemployed will increase people's disposable income, leading to an increase in private consumption expenditure. Aggregate demand will increase and the price level in the short run will increase. (3 marks)
Illustrate in the diagram:
- rightward shift of the aggregate demand curve (1 mark)
- the price level increases (1 mark)

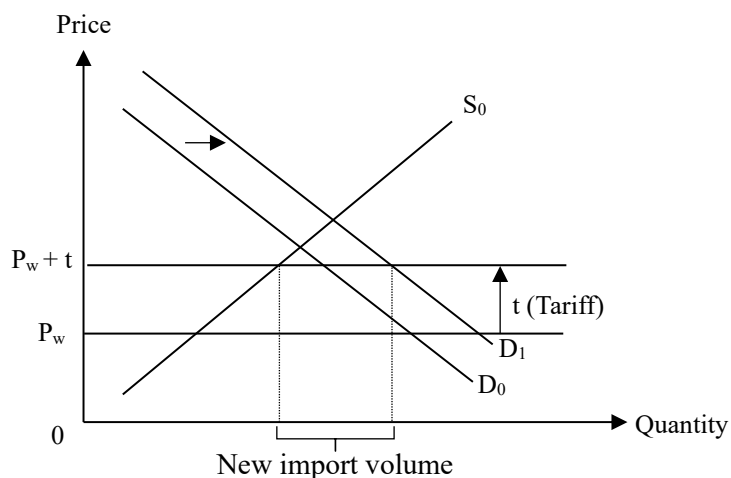
2@, max: 4 marks



4. Quantity theory of money: $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output, assuming V is constant.
 Percentage change in $M \approx$ Percentage change in P + Percentage change in Y
 Therefore, when M decreases continuously while Y remains unchanged, P would decrease continuously, i.e. deflation would occur. (4 marks)
5. (a) Nominal interest rate. (1 mark)
 When people hold money, they forego the returns from holding other interest-bearing assets, which is the nominal interest rate. (1 mark)
- (b) Nominal interest rate = Real interest rate + Expected inflation rate
 When people expect inflation to occur, the expected inflation rate will be positive. The nominal interest rate will be higher than the real interest rate. (2 marks)
6. (a) (i) Yes. When Country B has the same amount of resources as Country A, the output of food will be 36 units, which is higher than Country A's output of food. (2 marks)
- (ii) Yes.
 Country A's opportunity cost of producing 1 unit of food = $15/20 = 0.75$ units of garments
 Country B's opportunity cost of producing 1 unit of food = $8/18 = 0.44$ units of garments
 Since Country B has a lower opportunity cost in producing food, Country B has a comparative advantage in producing food. (3 marks)
- (b) The terms of trade is 1 unit of food = 0.5 units of garments
 Per unit gain for the food-importing country (i.e., Country A) = 0.75 units of garments – 0.5 units of garments = 0.25 units of garments
 Country A's gain from trade when importing 5 units of food = 0.25 units of garments $\times 5 = 1.25$ units of garments (3 marks)

7. Illustrate in the diagram:

- the price after imposing the tariff (1 mark)
- rightward shift of the demand curve (1 mark)
- correct position of the new import volume (1 mark)



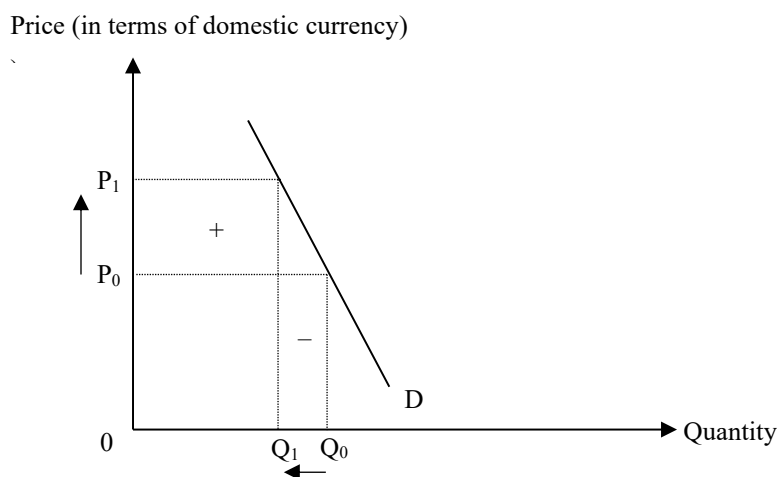
8. Verbal elaboration:

Suppose the price of imported goods (in terms of foreign currency) remains unchanged. The import price in terms of domestic currency will increase and the quantity of imports will decrease. (1 mark)

If the demand for imports is inelastic, the percentage increase in price will be greater than the percentage decrease in quantity demanded. The total import value (in terms of domestic currency) will increase. (3 marks)

Illustrate in the diagram:

- price increases and the quantity demanded decreases (1 mark)
- increase in import value > decrease in import value (2 marks)



Section B (60 marks)

9. (a) Limited liability means that the liability of shareholders is confined to the amount of their investment. (2 marks)
- (b) Private limited company. (1 mark)
- A reason:
- Miss Lee does not want to bear the shop's legal responsibilities.
 - Miss Lee hopes that the shop can have wider sources of capital for expansion by issuing shares and bonds.
- Any reasonable answer
- (Mark the **FIRST** point only)
- (c) Miss Lee is entrepreneurship, (1 mark)
- because she bears the business risks. (1 mark)
- Mr. Wong is labour, (1 mark)
- because he provides the human effort used in production. (1 mark)
- (d) Under perfect competition, a firm produces up to an output level at which the marginal cost of the last unit equals its marginal revenue (i.e. the market price) to achieve maximum profit. (1 mark)
- Mr. Wong's monthly salary is a fixed cost when determining daily output because it does not change with the quantity of output produced in a day. (1 mark)
- Since the increase in salary cost affects neither marginal cost nor the market price, it does not affect the profit-maximising daily output level. (1 mark)
10. (a) Services. (1 mark)
- For example, tourists from the Mainland who travel to Hong Kong to watch the National Games events would stay in Hong Kong hotels, thereby increasing exports of services. (1 mark)
- (b) Yes. (1 mark)
- The live broadcasts of the events are non-rival in consumption. One person's consumption does not reduce the amount available for others. (2 marks)
- OR
- The live broadcasts of the events are non-excludable in consumption. The cost of excluding others from consuming it is very high. (2 marks)
- (c) Rationing function. The tickets are distributed to the buyers who place the highest value on them. (2 marks)
- (d) The short video creators may benefit from an increase in income due to increased views because social media platforms reward creators based on the number of views their videos receive. (2 marks)
- If the increase in income equals the benefit enjoyed by the viewers of the videos at the margin, there is no externality. (1 mark)

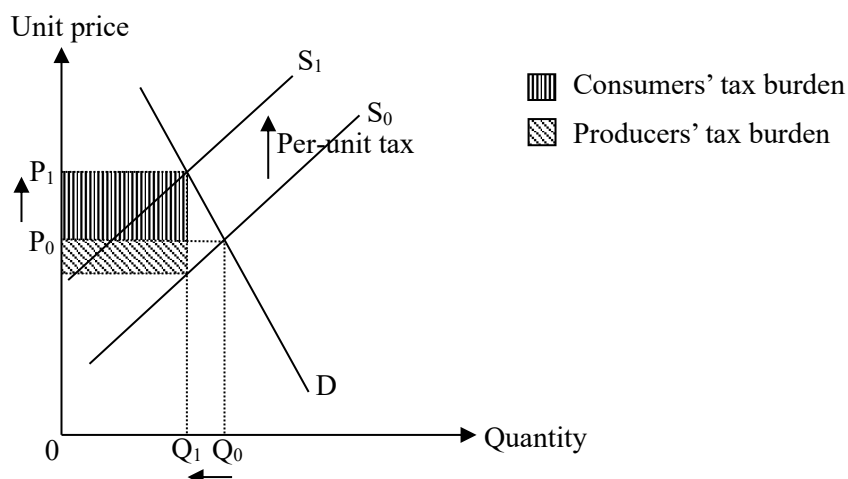
} 1 @, max: 1 mark

11. (a) Verbal elaboration:

When demand is less elastic than supply, the consumers' tax burden will be greater than the producers' tax burden. (2 marks)

Illustrate in the diagram:

- upward shift of the supply curve (1 mark)
- price increases (1 mark)
- quantity transacted decreases (1 mark)
- correct positions of consumers' tax burden and producers' tax burden (1 mark)
- consumers' tax burden > producers' tax burden (1 mark)



- (b) The monetary price of large bottles of milk is generally higher than that of small bottles. After a per-unit tax on milk is imposed, the relative price of large bottles of milk (in terms of small bottles of milk) will decrease. According to the law of demand, people will buy relatively more large bottles of milk. (4 marks)

(c) An advantage:

- Since the salesperson will tend to work harder to earn more commission, the cost of supervision is lower.

- Any reasonable answer

(Mark the **FIRST** point only)

A disadvantage:

- The cost of calculating wages is higher.

- Any reasonable answer

(Mark the **FIRST** point only)

1@, max: 1 mark

1@, max: 1 mark

12. (a) The development of the Northern Metropolis will improve the transportation network, thereby increasing the geographical mobility of labour. (2 marks)

The development of the Northern Metropolis can drive the growth of other industries (such as 'green/new energy', 'advanced construction', 'circular economy', and 'modern logistics/river trade terminal'). More people may therefore join these industries or expect higher income from working in them. People's ability and willingness to switch to these industries will increase, so the occupational mobility of labour will increase. (2 marks)

OR any reasonable answer (4 marks)

- (b) Since the expected total revenue was lower than the expected total expenditure, the government had a deficit budget in 2025-26. (1 mark)

(c) Verbal elaboration:

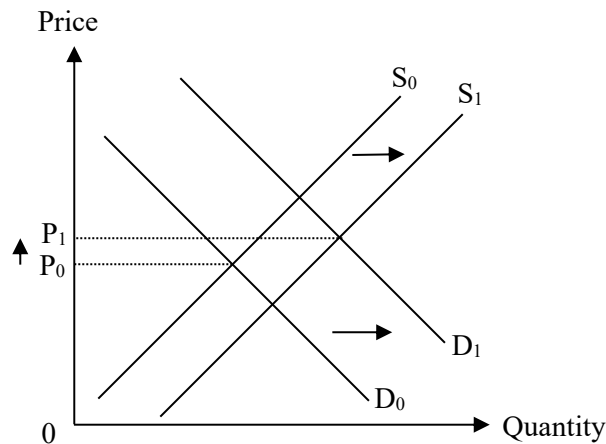
The development of the Northern Metropolis will increase the supply of residential units in the area. At the same time, more job opportunities and a better transportation network will attract more people to move into the area, leading to an increase in demand for residential units in the district. If the increase in demand is greater than the increase in supply, the price of residential units will increase. (4 marks)

Illustrate in the diagram:

- rightward shift of the demand curve (1 mark)

- rightward shift of the supply curve (1 mark)

- final equilibrium price is higher (1 mark)



(d) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	- Arguments supported with the source/data and appropriate economic theories - Relevant materials presented - Well-organised and coherent answers presented without repetition of ideas - Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols
1	- Arguments presented with some support of the source/data and economic theories - Some irrelevant materials presented - Answers presented in a less organised way with some repetition of ideas - A clear message conveyed with some inappropriate use of language/words/terms/symbols
0	- Arguments presented with no support of the source/data and economic theories - Materials unrelated to the gist of the question presented - Inconsistent arguments presented - Limited ideas expressed with inappropriate use of words/terms/symbols

The maximum marks for content are 12 marks. Answers may include the following:

Effects of suggestion I on the fiscal balance

- When more foreign workers come to work in Hong Kong and they do not replace any local workers, the government revenue from salaries tax will increase and the fiscal balance will improve.
- More foreign workers coming to work in Hong Kong will increase the population, leading to higher demand for goods and services, such as daily necessities and restaurant services. The government revenue from profits tax will increase and the fiscal balance will improve.

Effects of suggestion II on the fiscal balance

- Providing tax deductions will reduce government tax revenue. In the early stage of development, the fiscal balance will worsen.
- Providing tax deductions can attract firms to set up in the Northern Metropolis. As development matures, it can drive the growth of other industries, such as ‘green/new energy’, ‘advanced construction’, ‘circular economy’, and ‘modern logistics’, as mentioned in Source B. This can increase the government revenue from profits tax and the fiscal balance will improve.

Effects of suggestion I on the unemployment rate

- Importing more foreign workers will increase the labour force. Assuming foreign workers do not replace any local workers, the unemployed population will remain unchanged. The unemployment rate will fall.
- If foreign workers replace some local workers, the unemployed population will rise. If the percentage increase in the unemployed population is greater than the percentage increase in the labour force, the unemployment rate will rise.

Effects of suggestion II on the unemployment rate

- Providing tax deductions can increase firms’ willingness to set up in the Northern Metropolis. The number of job vacancies in Hong Kong will increase, which will help reduce the unemployed population. Assuming the labour force remains unchanged, the unemployment rate will fall.

Effects of suggestion I on aggregate output

- With more people coming to work in Hong Kong, Hong Kong’s labour force will increase. Hong Kong’s productive capacity and long run aggregate supply will rise. In the long run, aggregate output will increase.
- When more people come to work in Hong Kong, the population will increase, leading to higher private consumption expenditure and an increase in aggregate demand. The increase in the labour force will also raise the short run aggregate supply. In the short run, aggregate output will increase.

Effects of suggestion II on aggregate output

- Providing tax deductions can encourage enterprises to set up in the Northern Metropolis. This will increase firms' investment expenditure, causing aggregate demand to increase. In the short run, aggregate output will increase.
- With reference to the current affairs commentator in Source E, the development of related industries (such as 'green/new energy', 'advanced construction', 'circular economy', and 'modern logistics' as mentioned in Source B) will promote technological innovation and raise the level of production technology. Hong Kong's productive capacity will increase and long run aggregate supply will increase. In the long run, aggregate output will increase.

Section C (16 marks)

13. (a) Illustrate in the diagram:

- correct position of MR curve (1 mark)

- correct position of P_M and Q_M (1 mark)

(b) Verbal elaboration:

At the profit-maximising output level (Q_M), marginal benefit is higher than marginal cost. (1 mark)

Illustrate in the diagram:

- correct position of the deadweight loss (1 mark)

(c) Verbal elaboration:

No. (1 mark)

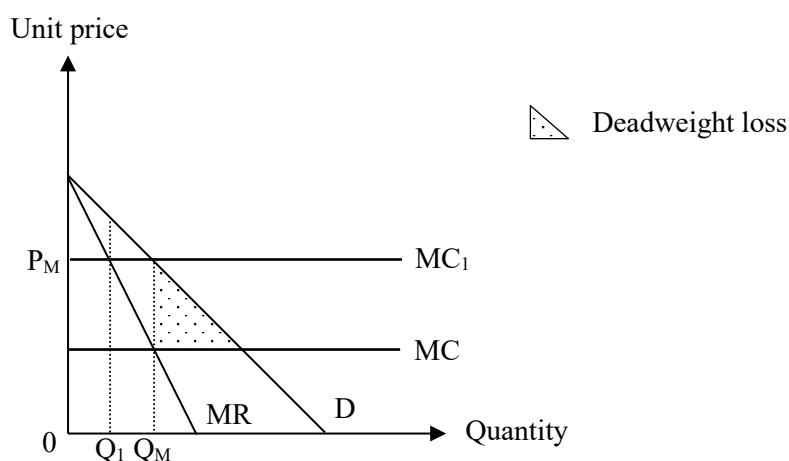
As the marginal cost increases, both the efficient output level and the profit-maximising output level will decrease. (1 mark)

The new output level (Q_1) is still lower than the efficient output level (Q_M). / At the new output level (Q_1), the marginal benefit is still higher than the (new) marginal cost. (1 mark)

Illustrate in the diagram:

- correct position of the new marginal cost curve (1 mark)

- correct positions of the new output level and the efficient output level (1 mark)



(d) No, because all consumers are entitled to the same charging scheme and there is no market segmentation. (3 marks)

(e) (i) Tie-in sales. (1 mark)

A possible harm:

- This practice forces consumers to buy the tied products (the guided tour services), thereby limiting their choices. } 1@, max: 1 mark

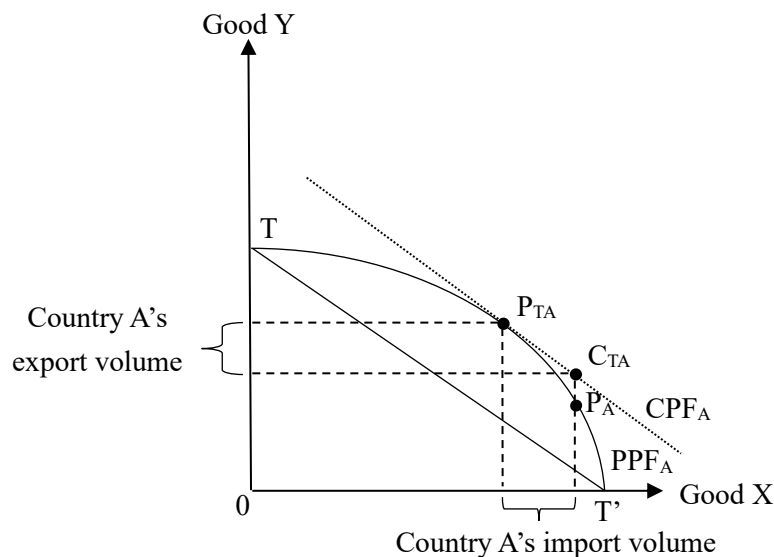
- Any reasonable answer

(Mark the **FIRST** point only)

(ii) The second conduct rule, (1 mark)

because there is an abuse of market power. (1 mark)

14. (a) In Country A, the marginal costs of producing both good X and good Y are increasing. (2 marks)
- (b) (i) The slope of point P_A on the production possibility frontier is greater than the slope of the international price line, indicating that the marginal cost of producing good Y in Country A is lower than the international price. Country A has a comparative advantage in producing good Y. (2 marks)
- (ii) Illustrate in the diagram:
 - correct position of P_{TA} (1 mark)
- (c) (i) Illustrate in the diagram:
 - correct position of CPF_A (1 mark)
- (ii) Illustrate in the diagram:
 - correct position of C_{TA} (1 mark)
 - correct position of export volume (1 mark)
 - correct position of import volume (1 mark)



- (d) (i) Country A's production possibility frontier will shift outwards. (1 mark)
- (ii) No. The opportunity cost of producing both goods in Country A remains unchanged. (2 marks)
- (iii) Reasons:
- Adopting artificial intelligence can increase per capita real GDP because better technology enhances labour productivity.
 - Adopting artificial intelligence may improve medicine production and surgical procedures, thereby increasing residents' life expectancy at birth.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)
- 2@, max: 4 marks